

impact digital players. “These amendments address a critical loophole wherein significant digital mergers and acquisitions, often termed as ‘killer acquisitions’ previously escaped scrutiny due to their low monetary value at the time of transaction,” he says, adding that the deal value threshold of ₹2,000 crore would mean that transactions involving substantial digital players operating in India will be mandatorily scrutinised by CCI.

While industry has taken these changes in its stride, a major concern is the draft Digital Competition Bill (DCB), put out for public comments by the Ministry of Corporate Affairs (MCA) along with the report of a high-level committee on digital competition law in March 2024. The deadline for submitting comments ended on May 15.

56 | The genesis of this committee and the subsequent bill is from a December 2022 report on anti-competitive practices by Big Tech firms by the Parliamentary Standing Committee on Finance. The report identified 10 anti-competitive practices, including anti-steering provisions that often prevent app publishers from moving out of the app store for alternative payment mechanisms; deep discounting; exclusive tie-ups; advertising policies; and restricting third-party apps. It had also called for *ex ante* regulations for identified digital gatekeep-



“The objectives of competition law and the proposed DCB are the same: to maintain competition in the digital markets”

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ers or systematically important digital intermediaries as well as a separate digital competition bill.

“The Committee observes that the current *ex post* framework under the Competition Act, 2002, needs to be supplemented to better address concerns related to alleged anti-competitive practices of large digital enterprises,” says the March 2024 report. To this effect, the draft DCB has recommended

ex ante measures be introduced to complement the current *ex post* framework by identifying large digital enterprises with a ‘significant presence’ in India in selected ‘core digital services’ (CDS) and setting pre-determined rules for their conduct. (See box ‘Decoding the Draft Digital Competition Bill’).

THE BIG DEBATE

The recommendations, which have garnered equal amounts of praise and criticism, came after extensive discussions with stakeholders. Questions have arisen over the need for a separate digital competition bill as well as pre-emptive measures, which a section of the industry as well as many experts believe will work as a “blanket ban” and impact investments and innovations in the fast-evolving sector.

In fact, industry body Internet and Mobile Association of India (IAMAI), in its comments on the draft bill, has said it may dry up venture investments in tech start-ups. In their discussions, most Big Tech firms including Amazon, Apple, Google, and Meta, and domestic giants like Flipkart and OYO said that they were not in favour of *ex ante* regulations.

Most Big Tech firms that BT reached out to for their views on the draft DCB did not respond to a request for comments.

“There’s an active debate in some countries about whether to adopt

THE INTERNATIONAL EXPERIENCE



▶ Most countries are examining issues around competition in digital markets and investigating Big Tech firms like Google and Apple



▶ European Union’s Digital Markets Act is *ex ante* and establishes a set of criteria to identify “gatekeepers”